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THE NEW CHINA RULES

The Sources of Chinese Behavior

In July 2018, Palau Pacific Airways shuttered its doors. The small airline found itself collateral damage in a spat between its archipelago of 21,000 persons and China. It might seem odd for the world's largest country to care much what a tiny island nation does, but Palau is one of only eighteen countries to maintain diplomatic relations with Taiwan. As a result, the Chinese government banned all tour groups to Palau, imposing fines on those who defied the edict and crushing revenue for Palau Pacific Airways.[1]

That same month, four US airline companies bowed to Chinese pressure and removed all references to Taiwan as an independent nation from their websites. They followed forty other global airlines, all of whom months earlier had accepted Chinese demands to list Taipei, Taiwan's capital, as part of China. Even so, the US carriers' action was deemed insufficient by Beijing, as they had tried various ways to include Taipei without acknowledging it was part of China. As a result, Beijing

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Parts of this essay first appeared as "The New China Rules," *National Review* 70, no. 19 (October 15, 2018) and "China v. America: The Espionage Story of Our Time," *The Spectator*, January 29, 2018, https://blogs.spectator.co.uk/2018/01/china-vs-america-the-espionage-story-of-our-time.